

THE TECH WIZARD

Tata Elxsi, led by CEO & MD Manoj Raghavan, has been delivering cutting-edge tech services to global OEMs, all the while maintaining a steady growth path

By **Binu Paul**

► **WITHIN THE TATA ELXSI** universe, each customer conversation revolves around the compelling concept of “design as a differentiator,” crafting a business narrative that goes beyond the ordinary. With each passing shift in design, the company has been consistently reinventing itself, always staying ahead of the curve to embrace emerging trends long before they become mainstream.

“We have been building our industrial design business for almost 12-13 years; that’s a strong differentiator when it comes to leading conversations with customers using design as a distinguishing factor. Increasingly, now we’re talking of ‘design digital’ as a differentiator as the world moves more and more towards the digital side,” Manoj Raghavan, CEO and Managing Director of Tata Elxsi, says.

The Bengaluru-based design and technology services company has been at the forefront of leveraging artificial intelligence (AI) capabilities, spearheading projects in driverless cars, media and broadcast recommendation engines, and cutting-edge smart advertising long before the AI phenomenon became a buzzword.

“As technology evolves, we have also been evolving—both in the way we’ve structured ourselves and the way we focus on some of these new technology trends. We’ve always been ahead [of the curve] by 5-6 years. We’ve made investments in some of these technologies prior to their market release. It really helped us to have that differentiation with respect to our competition as well as to be more meaningful for our customers,” he says.

The 52-year-old IIT Madras graduate is in his 27th year with the company. Many credit Tata Elxsi’s robust and steady growth to its stable top management, which includes Raghavan. In the quarter ended December 31, 2023, the company reported ₹206.4 crore in net profit—an increase of 6% over the corresponding period in the previous year.

“They hardly had any churn at the top level. Their attrition level also generally is lower than industry standards. They have been able to attract a lot of talent because of the highly appealing quality of their work. Despite not offering any ESOPs, they are good pay masters. Their entire HR policy and the Tata name and the TCS association—all that create a positive and virtuous circle,” says Dipan Mehta, Director of financial services holding company Elixir Capital.

Raghavan highlights the company’s focus on fostering internal talents for leadership positions, along with a series of developmental activities designed to cultivate leadership skills among the staff, which he credits for the longevity of key talent. According to Raghavan, retaining key talent has helped the company build enduring relationships with clients. “We are in the engineering R&D space. The way we do our business is because of the core capabilities and skills that we bring to the

IT & ITeS

MANOJ RAGHAVAN

CEO AND MANAGING DIRECTOR, TATA ELXSI

Revenue from operations	FY23	3,144.7
	9MFY24	2,646.2
Profit before tax	FY23	937.5
	9MFY24	786.3
Profit after tax	FY23	755.2
	9MFY24	595.3
	FY23 RoE (%)	40.97
	Market Cap	48,650.3

● Data is on a standalone basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023

● M-cap as of February 23, 2024

● **Source** ACE Equity, BSE